AUDIT & ASSURANCE

Suggested Answers

July-August 2023

Answer to the Question# 1(a):

Considering the circumstances as described as auditor of MNO Ltd the actions which should be taken along with reasons are mentioned below:

Actions

- Check bank statement to confirm employee's assertion;
- Report to nominated officer/ money laundering officer in firm;
- Avoid tipping off.

Reasons

- Could be a case of money laundering ;
- Criminal offence if auditor does not report suspicions of money laundering.

Answer to the Question# 1(b):

Ethical issues in relation to the EOI, are as follows.

- Confidentiality regarding information of one entity passing on to the other;
- Alpha may perceive a threat in respect of disclosure/use of information;
- Conflict of interest;

Below are the Procedures to address the ethical issues

- Procedures to ensure staff are aware of confidentiality requirements and issues;
- Staff to certify awareness of these procedures;
- Create Chinese wall;
- Obtain informed consent of clients;
- Use of different engagement partners and teams;
- Independent review of arrangements for ensuring confidentiality maintained and the audit;

Answer to the Question# 1(c):

Following aspects should be considered at the time of reviewing the working paper.

- Knowledge and experience of Mr. Sattar;
- Work properly conducted in accordance with plan/programmes;
- Working papers to standard/evidence recorded;
- Conclusions valid based on the work performed;
- Matters identified for further consideration;
- Working papers headed, initialled, dated.

Answer to the Question# 1(d):

1. No – other evidence should be available (the independent surveyor's report).

2. Yes – to support the completeness of disclosure of loans and other transactions with directors.

3. No – the impact on the auditor's report will need to be considered. (And if the directors have refused, and the auditor is sure the debt is bad, the directors are not going to provide evidence to support this view in the letter of representation.)

Answer to the Question# 1(e):

The factory appears to have been a separate component of the company's business, making a separate product that contributed materially to total sales income.

The closure represents a discontinued operation, and failure to disclose the details is a failure to comply with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations. It is also in breach of the requirements of IAS 7 Statements of Cash Flows and IFRS 8 Operating Segments which also require disclosures relating to discontinued operations.

The matter is material but is not pervasive. If management do not amend the financial statements to provide the required disclosures, a qualified audit opinion (for a misstatement) would be appropriate.

Answer to the Question# 1(f):

The claim was made after the end of the reporting period and is a non-adjusting event. The probability that the claim will be successful is less than 50% (on the assumption that the lawyers have given a reasonable opinion).

It is therefore appropriate to disclose the item as a contingent liability (in this case, a material non-adjusting event after the reporting period). The auditor should therefore give an unmodified opinion.

A 'Material Uncertainty Related to Going Concern' paragraph is normally only used when the matter involves material uncertainty that is adequately disclosed. 'Material uncertainty' usually exists only when there is some concerns about the going concern status of the entity or about a matter that could have a major impact on the financial statements. In this case, the company has sufficient cash resources to meet the legal claim in full, even if the claimant were successful.

It therefore appears that material uncertainty does not exist, and a 'Material Uncertainty Related to Going Concern' paragraph would not be inappropriate and an unmodified report would be appropriate.

Answer to the Question# 2(a)(i):

The audit of Bix's will include the results of the subsidiary, which are material as the subsidiary is the same size as Bix's. The audit firm must consider whether it has adequate resources to audit the overseas subsidiary itself and whether it has the required level of competence.

Bix's should appoint a local audit firm and undergo an audit of its subsidiary voluntarily.

The dispute with the previous auditors could cast doubt over the integrity of management and whether accepting the appointment will put the firm at risk of management intimidation. In an attempt to resolve this issue, permission should be sought to speak with the outgoing auditors and enquire of them whether there are any other issues of which the incoming auditor should be aware. If not allowed, then acceptance of the engagement must be reconsidered.

If the engagement is accepted and carried out, then the engagement partner assigned must ensure that members of the audit team have appropriately consulted on difficult or contentious issues. It is also recommended that an independent second partner review of the audit file is undertaken in the first year, before the audit report is signed.

Answer to the Question# 2(a)(ii):

Threats to objectivity and safeguards

- **Attending board meetings**

In some cases it may be desirable for the external auditor to attend board meetings. However, an auditor must not under any circumstances make management decisions. Attending board meetings is allowed if the auditor is acting in an advisory capacity only or is reporting the results of audit work.

Safeguards

To safeguard against this threat, the auditor should ensure that there is 'informed management' at the company. The auditor should inform the directors that they alone are responsible for decision-making and he should get their written confirmation of agreement to this. In the interests however of being 'seen to be independent' it may be best to decline the offer of attendance at monthly board meetings.

- **Provision of Internal Audit Services**

The provision of internal audit service causes a self-review threat to the external auditor as the external audit staff members may overlook errors made by their internal audit colleagues or may place too much reliance on their work.

Safeguards

The external audit firm can only act as internal auditor if the external auditor does not place significant reliance on the work or relies on it only after rigorous and objective assessment of the work completed by the internal auditors. In addition, senior management staff from the client must oversee and sign off on the work of the internal auditors. Additional safeguards include separate engagement partners, separate engagement letters and different teams for the two respective roles.

Finally, the directors must confirm in writing that they are responsible for the overall design and implementation of internal controls including the work of internal audit, and that they are responsible for acting on the recommendations of internal audit.

Answer to the Question# 2(b):

Cost of inventory

Inventory costs represent 1.1% of total assets and 19.6% of profit. Inventory is therefore material to both the statement of financial position and the statement of profit or loss.

Risk of material misstatement

The calculation of the cost of inventory is complex. This complexity increases the risk of error in the calculation, which increases the risk of misstatement.

The calculation is also subject to a number of estimates; the average production time per unit, the forecast annual wage cost, the scheduled hours of production and the forecast units of production are all estimates. These estimates increase the risk of both error and manipulation of the calculation to suit management's bias.

Given both the complexity and subjectivity involved in the calculation there is a significant risk that the inventory cost may be misstated.

Evidence expected to be on file:

- Documentation of the system for obtaining the data used in the costing exercise and calculating the final cost. This should identify the key controls that operate in this system and there should be evidence on file that these controls have been appropriately tested.
- A copy of the summary of inventory purchase costs. A sample of the purchase costs, including the additional costs of transport and handling, should have been confirmed through inspection of original purchase invoices, copies of which should also be on file.
- Documentation of the results of a discussion with the production manager to ascertain how they estimate the average production time per unit of inventory. Any calculations referred to by management should have been re-performed by the audit team to confirm their mathematical accuracy and agreed to corroborating documentation.
- A copy of the calculation of the forecast annual wage cost. The initial staffing levels should have been confirmed through inspection of current human resource records and for a sample of the staff their initial wages should have been confirmed through inspection of payroll records.
- Forecast wage increments should have been agreed to either post year end confirmation issued by human resources or minutes of board meetings approving pay rises.
- Documentation of the results of a discussion with management regarding how the forecast is made and who is ultimately responsible for reviewing and approving the forecast.
- A copy of the calculation of forecast units of production. This should have been analytically reviewed in comparison to the previous year's production levels. Where there are significant differences explanations should have been sought from management.
- A copy of the calculation of forecast production overheads. This should have been analytically reviewed by category of overhead in relation to the previous year to identify any significant variances. Corroborating evidence, such as rental and utilities agreements, should have been obtained where possible.
- Evidence on all management's schedules that the figures have been recalculated by the audit team to confirm the mathematical accuracy of management's calculations.

Impairment

The impairment of Tk.9 million represents 0.47% of total assets and 8.41% of profit. While it is not material to the statement of financial position it is material to the statement of profit or loss.

Calculation of recoverable amount

The fair value of the retail outlets, the disposal costs and the value in use are all management estimates. This increases the risk of material misstatement through both error and management manipulation of the reported figures.

In particular, while the estimate for the fair value appears to have a reasonable basis, the estimate of value in use appears to be too basic. The assumption that the cash flows attributable to the whole of the retail division will grow at 1% per annum is too simplistic and appears to lack commercial justification. It is likely that each retail outlet will be subject to regional variations in growth and growth rates will also be subject to annual fluctuations based upon economic variables. There is also no justification as to why 1% growth has been selected to represent 'poor performance', at the very least this should be benchmarked to more widespread and reliable growth forecasts, e.g., national forecasts of economic growth.

Allocation of the impairment

The impairment has been allocated against all of the tangible assets in the cash-generating unit. This is incorrect; as a cash-generating unit the impairment should firstly be allocated against any goodwill relating to the cash generating unit in accordance with IAS 36 Impairment of Assets. It should then be allocated against the remaining assets on a pro-rata basis bearing in mind that an asset should not be impaired below the higher of either its fair value less costs of disposal or its value in use.

Evidence expected to be on file:

- Copies of the offers received to purchase the retail outlets, confirming the amounts offered with the potential buyers. These should have been used to recalculate the average used for the estimate of fair value.
- Documentation of enquiries with management with regard to how they estimated the disposal costs and what experience they have had with the sale of similar operations.
- A copy of the forecast cash flows attributable to the retail outlets. This should contain evidence of analytical review in comparison to the year ended 30 June 2022 to confirm the accuracy of the base cash flows.
- Evidence of a recalculation of the future cash flows using management's estimates of 1% growth to confirm the mathematical accuracy of management's calculation.
- Evidence of a recalculation of the value in use using a range of growth rates to assess the sensitivity of management's calculations to economic variables. The differences between these valuations and management's valuation should have been reviewed to assess the likelihood of a material under or overvaluation.
- Evidence of an analytical review of performance by retail outlet or geographical area of operations, referenced to sales and cash flow records where available, to confirm whether growth rates are consistent across the brand or whether there are variances.
- Documentation of enquiries with management relating to their expectations for specific retail outlets or areas of operations and whether there are any specific matters which they are aware of which may affect regional performance, e.g., the opening of new out-of-town shopping facilities or competitors setting up in the same location.
- A schedule of any goodwill included in the statement of financial position with analysis of its various components to assess whether any part is attributable to the retail outlets as a cash generating unit. This is specifically relevant to any acquired brands which may be sold through the retail stores or any retail brands acquired by Abir Jewelers Ltd.

- A recalculation of the allocation of the impairment by the auditor, firstly against any goodwill determined to be attributable to the cash generating unit, then to the remaining assets on a pro rata basis bearing in mind the limits set by the standard.
- Copies of previous forecasts, where the retail outlets forecast performance exceeds the 1% currently predicted by management there should be evidence of discussion with management to ascertain the reasons for changing their outlook.

Answer to the Question# 3(a):

Notes for a planning meeting

Circumstance	Why taken into account
• Multiple business locations.	• Increases inherent risk (e.g., if the organizational structure is loose and difficult to manage).
• Intense price competition.	• May lead to uneconomic price discounting, possibly threatening viability of business.
• Recent expansion of outlets into minimarkets.	• Increases complexity of business which could lead to loss of management control.
• Perishable nature and limited shelf-life of food and drinks inventories.	• Increase risk of overstatement of inventory values.
• Large volume of cash transactions.	• Increases risk of incomplete income recording.
• Nature of the business (garage environment).	• Increases risk of loss of inventories and cash due to theft or staff pilferage. • May limit effectiveness of physical security controls (e.g., over access to terminals).
• Recent introduction of sales of National Lottery tickets.	• Increases inherent risk (e.g., the risk of loss to Extensions Ltd if incorrect amounts are paid out on winning tickets).
• Direct input via PCs at branches.	• Increases risk of misstatement, as batch controls will not be feasible and scope for other input controls may be limited.
• Small number of staff at each location (e.g., one or two).	• Limits scope for segregation of duties within branches and therefore increases control risk.
• Branch-based nature of business.	• Limits effectiveness of management control over activities of individual branches thereby increasing control risk.
• Use of part-time staff and high staff turnover	• May inhibit effectiveness of controls within branches.

Answer to the Question# 3(b):

Effects and limitations of use of work of internal auditor on audit planning

(i) There is only one internal auditor to cover branches in and around Dhaka leaving him unable to complete his work adequately and there is a possibility of coercion of the internal auditor with one or more of the branch in charges
(ii) The internal auditor's identification and documentation of areas of weaknesses will give direction to areas requiring increased substantive procedures.
(iii) Work of the internal auditor may assist in selection of branches for audit visits, (e.g., where control failures have occurred).
(iv) The internal auditor may attend year-end inventory counts at one or more branches, potentially reducing the number of branches to be visited by us. However, since there is only one internal auditor s/he may not be able to adequately cover may branches where controls may not be operating effectively leading to us covering one or more.

(v) Work performed by the internal auditor may provide evidence to confirm operation of control procedures, on which we may seek to rely to reduce the extent of our own procedures.
(vi) Documentation of systems and controls by the internal auditor, including changes due to the National Lottery, may reduce extent of our visits, as walk-through checks may be sufficient to confirm systems documentation.

Answer to the Question# 4(a):

Implications of findings for QM policies and procedures

(i) Analytical procedures

Analytical procedures should have been performed at the planning stage, to assist in understanding the business and in identifying areas of potential risk, in accordance with ISA 315 (Revised)- Identifying and Assessing the Risks of Material Misstatement. The audit senior should know this.

Audit staff may have insufficient knowledge to assess the risks of the highly specialized service industry in which this new client operates. In particular, ABC Ltd. may be exposed to risks resulting in unrecorded liabilities (both actual and contingent) if claims were made against the company in respect of outbreaks of contamination.

The audit has been inadequately planned and audit work had commenced before the audit plan was reviewed by the audit supervisor. The audit may not be carried out effectively and efficiently.

(ii) Supervisor's assignments

The senior has performed work on non-current assets which is a less material (18% of total assets) audit area than trade receivables (57% of total assets) which has been assigned to an audit trainee. Non-current assets also appear to be a lower risk audit area than trade receivables because the carrying amount of non-current assets is comparable with the prior year (Tk.1.1m at both year-ends), whereas trade receivables have more than doubled (from Tk.1.6m to Tk.3.5m). This corroborates the implications of (i) above. In addition, as non current assets did not change from year-to-year depreciation methods along with any acquisitions should be carefully audited.

The audit is being inadequately supervised as work has been delegated inappropriately. It appears that the firm does not have sufficient audit staff with relevant competencies to meet its supervisory needs.

(iii) Direct confirmation

It is usual for direct confirmation of trade receivables to be obtained where trade receivables are material and it is reasonable to expect customers to respond. However, it is three months after the statement of financial position date and, although trade receivables are clearly material (57% of total assets), an alternative approach may be more efficient (and cost effective).

For example, testing after-date cash will provide evidence about the collectability of trade receivables as well as corroborate their existence.

Supervision of the audit may be inadequate. For example, if the audit trainee did not understand the alternative approach but mechanically followed circularizing procedures. Depending on the reporting deadline, there may still be time to perform a circularizing. However, consideration should be given to circularizing the most recent month-end balances (i.e., June) rather than the year-end balances which customers may be unable or reluctant to confirm retrospectively.

(iv) Cash count

Although Tk.2,500 is very immaterial, the client's management may expect the auditor to count it to confirm that it has not been misappropriated.

The briefing given to the trainee may have been inadequate. For example, Salahuddin may not have understood the need to count the cash at the time the request was made by the client. However, the behavior of Salahuddin

also needs to be investigated in that he failed to report back to the audit senior on a timely basis and allowed himself to be unsupervised.

The trainees do not appear to have been given appropriate direction. Salahuddin may not be sufficiently competent to be explaining sample selection methods to another trainee.

Although it is not practical to document every matter, details should have been recorded to support Chanchal 's decision to change the timing of a planned procedure. Chanchal 's decision appears justified as it is inappropriate to perform a cash count when the client is 'ready' for it. Also, if some irregularity is discovered by the client at a later date (e.g., if Jules is found to be 'borrowing' the cash), documentation must support why this was not detected sooner by the auditor.

(v) Inventory

Whilst material, (2.5% of total assets), inventory is relatively low risk given the company has no inventory-in-trade, only consumables used in the supply of service. Therefore, it seems appropriate that a trainee should be auditing it assuming he had relevant knowledge of the appropriate accounting standards. However, the audit approach appears inefficient. Such in-depth testing (of controls and details) on a relatively low risk area may be due to a lack of monitoring or a mechanical approach being adopted by a trainee. This provides further evidence that the audit has been inadequately planned, and demonstrates a lack of knowledge and understanding about ABC Ltd.'s business.

(vi) Pending areas

The audit senior appears to have assumed that this (i.e., health, safety and environmental performance data) is other information to be included in a document containing audited financial statements (the annual report). To be dealt with presumably means to be read with a view to identifying significant misstatements or inconsistencies with the audited financial statements. The comment indicates that Chanchal possibly does not know what needs to be done with the report. By leaving it until the end of the audit, could cause problems, for instance if the audit firm is actually required to provide assurance on the Report to the shareholders there may not be sufficient time to perform the work required to be able to issue the report by the required deadline.

As the preceding analysis casts doubts on Syngenta & Co's ability to deliver a quality audit to ABC Ltd., it seems unlikely that Syngenta & Co has the resources and expertise necessary to provide such assurance services.

Conclusions

The audit is not being conducted in accordance with ISAs e.g., ISA 315: Identifying and Assessing the Risks of Material Misstatement and ISA 520 Analytical Procedures which indicates Syngenta & Co's quality management policies and procedures are not established and/or not being communicated to personnel.

Audit work is being assigned to personnel with insufficient technical training and proficiency which indicates weaknesses in procedures for hiring and/or training personnel.

Insufficient direction, supervision, and review of work at all levels suggests a lack of resources.

In deciding whether or not to accept the audit of ABC Ltd., Syngenta & Co should have considered whether it had the ability to serve the client properly. The partner responsible for accepting the engagement does not appear to have evaluated the firm's (lack of) knowledge of the industry.

Answer to the Question# 4(b):

Planning meeting

The planning should be documented fully and approved by the partner before the start of fieldwork. It is possible that evidence of this approval is to be found elsewhere on the file, but it would have been better if the

partner had signed off the meeting minutes as soon as they were available.

Going concern and subsequent events

- The subsequent events review should be updated to the date of signing the auditor's report (i.e., 15th April). The review should arguably be more rigorous and comprehensively documented because of the lack of headroom in the overdraft and financial facilities and the increased risk of going concern issues.
- The fact that the parent is listed overseas does not mean that the comfort letter is valid evidence that Camelia Ltd. is a going concern. It may be that the letter of comfort from the holding company is sufficient to eliminate this risk, but this should be made clear on the file, and the checklist still needs updating.

Non-current assets

- Non-current assets might be considered low risk, but the total is material, even if the current year's additions may not be material.
- This section of the file demonstrates a lack of clarity in the approach to the audit and the firm's basic procedures for initialing and dating working papers have not been observed, albeit in what may be a relatively low-risk area.

Receivables

- The uncleared item may not be material but it may be in excess of the tolerable error threshold.
- The item should have been followed up and other evidence obtained. If this was not possible, the potential misstatement should have been calculated in theoretical terms to see if the misstatement in the financial statements as a whole might have been material.

Conclusions/recommendations

- There is a risk that the auditor's report (on the assumption that an unmodified opinion was given) may be inappropriate because of the going concern and receivables issues;
- Planned audit procedures need to be followed for the planning meeting, subsequent events review, non-current assets working papers and receivables sample;
- 'Work performed not documented not done' approach should be adopted by the firm;
- Training implications need to be considered.

Answer to the Question# 5(a):

Alpha Ltd – Critical appraisal of extract from draft auditor's report.

Presentation and structure of auditor's report extract

The structure and format of the auditor's report is prescribed by ISA 700: Forming an Opinion and Reporting on Financial Statements. The auditor's report should be addressed solely to the shareholders of the reporting entity and the title should not include any reference to the directors of Alpha LTD. In addition, the first two paragraphs are presented in the incorrect order, the Opinion paragraph should precede the Basis for Opinion paragraph.

Reference to ethical code

ISA 700 (revised) requires that in the Basis for Opinion paragraph, the auditor should identify the relevant ethical code, naming the IESBA International Code of Ethics for Professional Accountants. The draft auditor's report does not specifically refer to the ethical code which has been applied during the audit and is therefore not in compliance with the requirements of ISA 700.

Material uncertainty regarding going concern

ISA 570 (revised): Going Concern provides guidance on how an auditor should report uncertainties regarding going concern in the auditor's report. According to ISA 570, if adequate disclosure about the material uncertainty is not made in the financial statements, the auditor should express a qualified opinion or adverse opinion as appropriate.

The use of a 'material uncertainty regarding going concern' paragraph in the draft auditor's report extract is therefore inappropriate. This paragraph should only be used when adequate disclosure has been made by the directors in the financial statements and would include a cross reference to this disclosure. Given that there is no reference to relevant disclosures in the audit report under this paragraph, this is therefore is inappropriate in this case.

The absence of any disclosure in the financial statements in relation to the uncertainties regarding going concern is grounds for a modification of the auditor's opinion. The modification is due to a material misstatement in relation to the absence of this key disclosure. If, in the auditor's professional judgement, the impact of this non-disclosure on the financial statements is material but not pervasive, a qualified 'except for' opinion should be issued. In this case, the opinion paragraph should be headed 'qualified opinion' (in accordance with ISA 705(revised)) and this should be followed immediately by a 'Basis for Qualified Opinion' paragraph. If, on the other hand, the auditor believes that the impact on the financial statements of the non-disclosure is both material and pervasive, an adverse opinion should be given. The opinion paragraph should then be headed 'Adverse Opinion' and should be followed immediately by a 'Basis for Adverse Opinion' paragraph.

In addition, details of the uncertainty regarding going concern should be given in the basis for qualified or adverse opinion paragraph as appropriate.

Other information: Long-term contracts

The use of the 'other information' in line with ISA 720 (Revised) section in this context (i.e., describing the involvement of complexity and significant judgment in assessing the percentage of completeness which ultimately impact calculation of revenue) is inappropriate. This section should be used to describe the auditor's responsibilities for 'other information' (e.g., the rest of the annual report, including the management report) and the outcome of fulfilling those responsibilities.

The disclosure regarding long-term contracts is more in line with the requirements of "ISA 701: Communicating Key Audit Matters in the Independent Auditor's Report". Key audit matters are those which in the auditor's professional judgement were of most significance to the audit. In determining which matters to report, the auditor should take into account areas of significant auditor attention in performing the audit, including:

- Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with ISA 315 (Revised): Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and Its Environment.
- Significant auditor judgements relating to areas in the financial statements which involved significant management judgement, including accounting estimates which have been identified as having high estimation uncertainty.
- The effect on the audit of significant events or transactions which occurred during the period.

Key audit matters (KAM)

The extract from the draft auditor's report states that significant judgement is applied in assessing the percentage of completeness of material long-term contracts and that this percentage is then applied in calculating the revenue for the year. This is a matter of high risk requiring significant auditor attention and given that Alpha Ltd is a listed entity, it would be appropriate for this to be disclosed in the KAM section of the auditor's report. The KAM section of the auditor's report should begin with an introductory paragraph explaining what KAM is. The KAM section should then explain why this matter is considered to be a KAM (e.g., due to the significant judgement involved in assessing the percentage completeness of the long-term contracts and the high risk of material misstatement associated with this judgement process). The KAM section should also include an explanation as to how the KAM was addressed by the audit process. In this case, this might include, for example, an evaluation of the controls designed and implemented by Alpha Ltd to monitor the progress of and the amounts owing on service and construction contracts; a review of the financial performance of key contracts against budgets and historical trends; and challenging management's estimates and judgements in respect of the progress to date on the contracts.

Answer to the Question# 5(b):

Report to those charged with governance

A report to those charged with governance is produced to communicate matters relating to the external audit to those who are ultimately responsible for the financial statements. ISA 260 (revised): Communication With Those Charged With Governance requires the auditor to communicate many matters including independence and other ethical issues and the significant findings from the audit. In the case of ABC Limited, the matters to be communicated would include the following:

Revaluation of property portfolio

According to ISA 260 (revised), the significant findings from the audit include the auditor's views about significant qualitative aspects of the entity's accounting practices including accounting policies and any circumstances which affect the form and content of the auditor's report. In the case of ABC Limited, therefore, the significant findings from the audit would relate to the changes in the accounting policy in relation to the revaluation of property and related material misstatements and the following matters should be communicated:

IAS 16: Property, Plant and Equipment states the revaluation policy should be consistent across a class of assets. However, four properties, which are material to the statement of financial position at 2.1% of total assets, are still carried at depreciated historic cost. This therefore represents a breach of IAS 16 and a material misstatement, which will impact on the form and content of the auditor's report.

According to ISA 260 (revised), the significant findings from the audit also include significant difficulties encountered during audit such as information delays. The independent external valuation reports requested by Expert Reviewers & Partners at the planning stage were not available when requested by the auditor and it took three weeks before they were received by the audit team. The auditor should report this delay to those charged with governance, detailing its impact on the efficiency of the audit process together with any resulting increase in the audit fee.

Renovation of car parking facilities

The renovation expenditure on the car parking facilities at ABC Limited's properties should be recognised as an asset according to IAS 16 if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. In ABC Limited's case, the cost has been quantified as TK. 13·2 million and it has already derived economic benefits in the form of a significant increase in customer numbers and revenue at each of these locations. The expenditure should therefore be capitalised and its inclusion in operating expenses is not in compliance with IAS 16. The amount of TK. 13·2 million is also material to the statement of financial position representing 2·5% of total assets. The incorrect application of IAS 16 and the material misstatement should be included in a report to TCWG as a significant finding from the audit which will impact on the form and content of the auditor's report.

"ISA 265: Communicating Deficiencies in Internal Control to Those Charged with Governance and Management" requires the auditor to communicate appropriately to those charged with governance deficiencies in internal control which the auditor has identified during the audit and which, in the auditor's professional judgement, are of sufficient importance to merit their respective attentions. The audit working papers include minutes of discussions with management which confirm that authorisation had not been gained for this expenditure. The lack of authorisation indicates a lack of management oversight and a serious weakness in control which could allow fraud to occur. Furthermore, the lack of integrity shown by management in going ahead with the renovation works without the necessary permission is an example of management override and could be indicative of the tone set throughout the organisation. This therefore represents a high-risk matter and they may wish to implement controls and procedures to prevent further breaches. The report to those charged with governance should include full details on this significant deficiency in internal control and should include recommendations to management in order to reduce the associated business risk.

Long association of audit partner

As discussed above, ISA 260 requires the auditor to communicate matters in relation to auditor independence. Mr. Kamal Ahmed FCA has acted as audit engagement partner for ABC Limited for eight consecutive years. According to the IESBA Code of Ethics for Professional Accountants (the Code), his long association with the audit client creates both familiarity and self-interest threats to auditor independence. The familiarity threat arises due to the long and potentially close relationship which he has with the staff of ABC Limited leading to his being too sympathetic to their interests or too accepting of their work. This in turn gives rise to a self-interest threat in that her long association and close relationship with the client create a personal interest which may inappropriately influence her professional judgement or behavior. In order to address these risks, the Code requires that an audit partner in a listed entity should be rotated at least every seven years and therefore his eight-year tenure as the audit partner of ABC Limited appears to be in clear breach of this provision. However, the Code does allow for an engagement partner to serve for an additional year if the required rotation is not possible due to unforeseen circumstances such as the illness of the intended engagement partner, in this case Mr. Syed Bashir Ali FCA. In these circumstances, safeguards should be applied such as the independent review of the engagement which is being performed and this should be communicated to those charged with governance. Going forward beyond the current year, if it remains impossible to rotate the audit partner due to a lack of alternative expertise within the firm, it may be possible for Mr. Kamal Ahmed FCA to continue as the audit partner if special dispensation is received from the relevant regulator and the necessary safeguards are applied such as the engagement is subject to regular review by an independent, external expert.

Answer to the Question# 6(a):

Use of standardized auditor's reports

Advantages of standardized auditors report

(i) The standard acts as a quality control mechanism, i.e., all auditor's reports contain the same level of information for the shareholders.
(ii) It enhances clarity and understanding as it is produced on a consistent basis. Shareholders know what the various forms of the auditor's report indicate and particularly with modified audit opinions can identify the problems immediately.
(iii) For the auditor it makes preparation easier. The auditor knows that he is satisfying his legal and professional responsibilities on the signing of this report.

Disadvantages of standardized auditors report

(i) There is a danger that readers and users of accounts become over-familiar with the report and feel that as it is not tailored to their company it is not relevant to them.
(ii) It could be seen as inflexible. There are certain situations where the auditor's report would provide a useful vehicle by which to pass on information to the shareholders but normally would not be used in this way, e.g., problem of illegal loans to directors.
(iii) It does include a certain amount of technical jargon but does not allow for the auditor to explain or expand on these terms if he feels it would be of benefit to the user. This could be particularly relevant when dealing with smaller organizations.

Conclusion

While there are arguments for and against the use of standard auditor's reports on balance the advantages would seem to have more weight than the disadvantages.

Answer to the Question# 6(b):

Effect on the auditor's report for three situations

(1) PQR Ltd

The accounting treatment adopted by the company does not agree with the relevant accounting standard. This should be discussed with management who should be requested to comply with the accounting standard. If they refuse to do so this should be referred to in the report to management.

Materiality

The adjustment represents 0.67% of profit and 0.94% of total assets. Based on this information it does not appear to be material to the accounts in isolation. However, the impact on liabilities and net assets should also be considered.

Impact on auditor's report

As the adjustment is not material, even if the directors refuse to adopt accounting standard treatment the audit opinion would be unmodified, stating that the accounts give a true and fair view.

(2) DEF Ltd

`The issue here is one of a inability to obtain sufficient appropriate audit evidence. Due to the loss of the physical inventory count records the auditor will not be able to perform normal audit procedures in this area.

The auditor will need to establish the basis for the estimated figure, e.g., book inventory records to determine whether it will provide a reasonable assessment of the year end balance.

Materiality

The inventory balance itself is clearly material to the accounts as it represents 70% of profit and 12% of total assets. However, in this instance the real issue is the extent to which the inventory balance along with the profit could be misstated. As the limitation in scope leads to uncertainty, it is not possible to quantify exactly the size of any adjustment. By its nature, however, inventory is a significant balance in the accounts and is therefore likely to be material.

Impact on auditor's report

Assuming that the inability to obtain sufficient appropriate audit evidence is material but not so material or pervasive (as the problem is isolated to one balance in the accounts) the auditor's report would be affected as follows.

(i) It would refer to the fact that the audit work could not be performed fully in accordance with auditing standards.

(ii) A description of the limitation would be given, i.e., physical inventory records destroyed including an estimate of the effect.

(iii) The opinion would be modified accordingly (e.g., Qualified Opinion) .

(iv) The "Basis for Qualified Opinion" (assuming the auditor issues a qualified opinion) paragraph should mention as to why the auditor issued a qualified opinion.

(3) GHI Ltd

There is a significant uncertainty at the year-end (i.e., 30th June, 2022) in respect of whether or not the company is a going concern for the foreseeable future. This is dependent upon the renewal of a contract which is significant to the viability of the company. The auditor needs to establish the likelihood of renewal. If the company is likely not to be a going concern the financial statements should be prepared on a break-up basis.

Materiality

No information has been provided to quantify the adjustments necessary to prepare the accounts on a break-up basis but these are likely to be material.

Impact on auditor's report

a) <u>If the financial statements are prepared on a going concern basis</u>

(i) Provided that the auditor is satisfied that this treatment is appropriate and that disclosure of the situation is sufficient, an unmodified audit opinion will be issued. Reference to the significant uncertainty would be made by modifying the auditor's report using an 'emphasis of matter' paragraph, together with a statement that the opinion itself is not modified.

(ii) If the auditor disagrees with the treatment adopted (ie if he feels that it is unlikely that the contract will be renewed) or the level of disclosure is inadequate, the opinion will be modified on the grounds of material misstatement.

(iii) Normally the matter is of such significance that an adverse opinion is issued (ie the accounts do not give a true and fair view).

b) <u>If the financial statements are prepared on a break-up basis</u>

i) Provided the auditor agrees with this treatment and that the basis of preparation is fully disclosed, an unmodified audit opinion will be issued.

ii) In this instance the most likely outcome would be modified report with reference to the significant uncertainty but an unmodified audit opinion.

---The End---